

Apple Inc.

AAPL

SELL

HIGH CONVICTION

Last Price	\$307.34
DCF Fair Value	\$190.82
Implied	-37.9%

LAST	P/E	RSI	BETA	SHARPE	MAX DD	VAR 95%
\$307.34	37.16x	58.28	0.91	1.96	-13.82%	1.88%

1 Executive Summary

Apple trades at a material premium to intrinsic value, with the stock priced at \$307.34 versus a DCF fair value base case of \$190.82—a 61% overvaluation that leaves minimal margin of safety. While operational fundamentals are exceptionally strong, characterized by 27.15% profit margins, 19.40% quarterly EPS growth, and a 141.47% return on equity, valuation multiples are stretched at 37.16x P/E (49.66% premium to peers) and do not reflect sustainable expansion. The bear-case DCF scenario of \$150.99 implies 51% downside risk if growth assumptions deteriorate, and even the bull-case valuation of \$247.63 is 19% below current price, leaving unfavorable risk-reward dynamics. Technical weakness—including MACD at 8.46 below its Signal Line of 9.40 and elevated positioning near the Bollinger Upper Band of \$318.22—combined with neutral RSI of 58.28 suggests momentum is beginning to fade. We recommend a Sell rating given the severe disconnect between current valuation and intrinsic value, the compressed upside potential, and asymmetric downside risk from mean reversion.

2 Company Overview

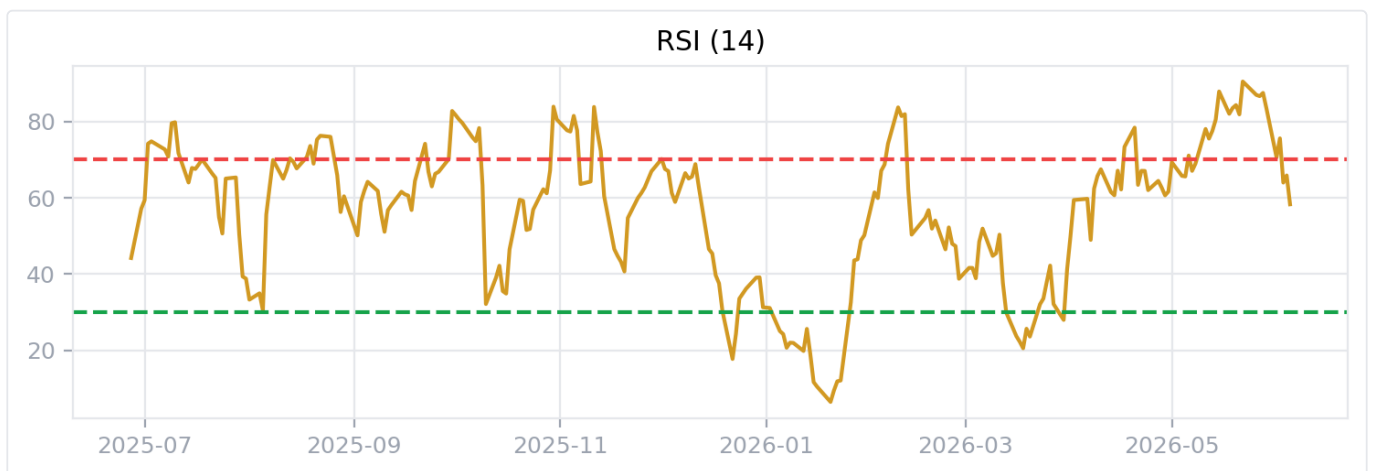
Apple remains one of the world's most profitable companies, with market capitalization of \$4.51 trillion, exceptional profit margins of 27.15%, and strong momentum in revenue growth at 16.60%. The company's 141.47% return on equity and 19.40% quarterly EPS growth demonstrate operational excellence and efficient capital deployment. However, these fundamentals are already fully valued—or overvalued—in the current stock price of \$307.34, which reflects market expectations that may prove unrealistic given the already-exceptional baseline performance.

3 Technical Analysis

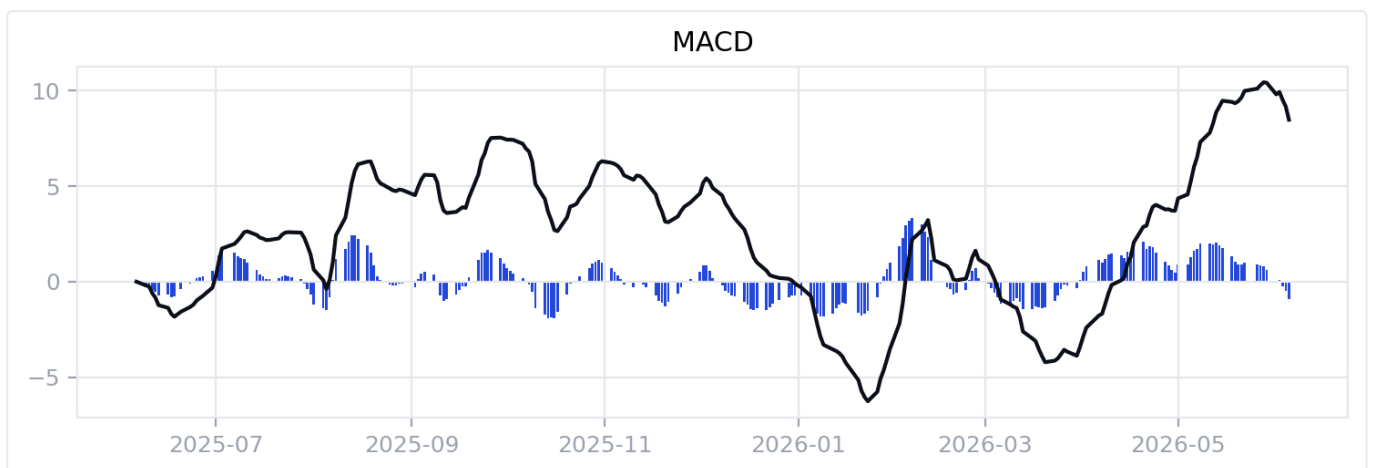
Technically, AAPL is exhibiting signs of weakness despite its proximity to recent highs. The stock trades at \$307.34, very close to its 52-week high of \$315.20 and above the Bollinger Upper Band of \$318.22, indicating stretched positioning. Most notably, MACD at 8.46 has fallen below its Signal Line of 9.40, suggesting weakening momentum; the RSI of 58.28 remains neutral rather than overbought, but this combination leaves limited room for further upside. A mean reversion toward the simple moving average 200 of \$265.19 would represent 14% downside from current levels.



Candlestick with SMA 50/200 and volume



Relative Strength Index (14-day)



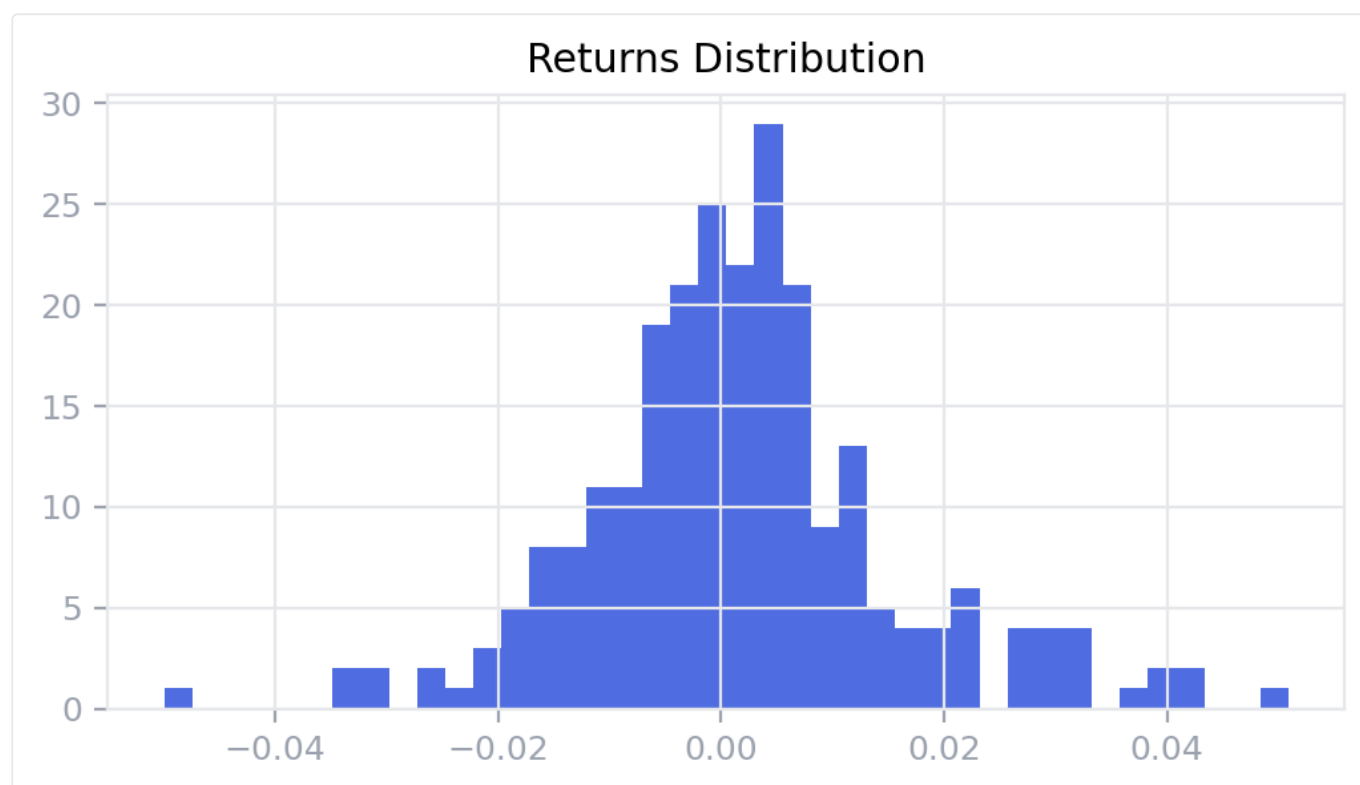
MACD vs. signal line

4 Fundamental Analysis

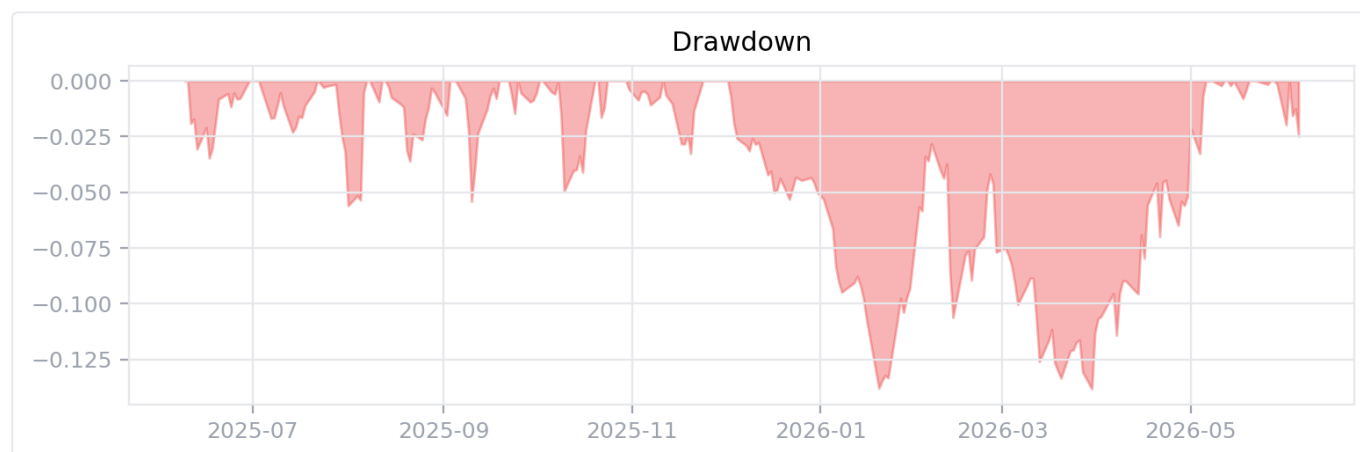
Apple's fundamental operating metrics are genuinely exceptional: 27.15% profit margins, 19.40% quarterly EPS growth, and 16.60% revenue growth all rank among the best in technology and globally. The 141.47% return on equity reflects a highly capital-efficient business model. Nevertheless, the current valuation of \$307.34 sits 61% above the DCF fair value base case of \$190.82, suggesting the market has priced in perfection or assumes indefinite perpetuation of current growth rates. The high leverage (Debt/Equity ratio of 79.55) and unusually elevated dividend yield of 35.00% warrant scrutiny and may indicate financial engineering concerns.

5 Risk Assessment

AAPL presents an asymmetric risk-reward profile weighted heavily toward downside. The 61% valuation premium to fair value creates substantial mean-reversion risk; the bear-case DCF scenario of \$150.99 implies 51% potential loss if growth assumptions deteriorate. While defensive characteristics—including a beta of 0.91 relative to SPY and a Sharpe ratio of 1.96—provide modest downside cushion, these are insufficient to offset the embedded overvaluation risk. The annualized volatility of 22.37% and maximum drawdown of -13.82% could both extend significantly in a scenario involving multiple compression or deceleration in growth.



Distribution of daily returns



Drawdown from the running peak

6 Valuation & Forecast

Valuation is the critical constraint on AAPL investment appeal. The stock trades at \$307.34 against a DCF base-case fair value of \$190.82, representing a 61% premium; even the bull-case scenario of \$247.63 is 19% below current price. The P/E ratio of 37.16x is elevated 49.66% above the peer median P/E of 24.83x, and the price-to-book ratio of 42.33x is extraordinarily high. DCF scenarios suggest fair value ranges from \$150.99 (bear case) to \$247.63 (bull case), with a 38% downside to the base case, implying a highly unfavorable risk-reward profile at current levels.

7 Recommendation

We initiate coverage of Apple with a Sell rating. While the company's operational fundamentals remain world-class, the current valuation is indefensible on a risk-adjusted basis. At \$307.34, the stock trades 61% above fair value with limited upside potential (even the bull case is 19% lower) and substantial downside risk from mean reversion. The technical backdrop of weakening momentum (MACD below Signal Line) and elevated leverage provide no support for further appreciation. We recommend investors reduce or exit positions and wait for a meaningful repricing toward the \$190–\$250 range before reinitiation.

Financial Detail

FUNDAMENTALS

P/E Ratio	37.16x
P/B Ratio	42.33x
Debt/Equity	79.55
Return on Equity	141.47%
EPS Growth (Q)	19.40%
Profit Margin	27.15%
Revenue Growth	16.60%
Dividend Yield	35.00%
Market Cap	\$4.51T

RISK METRICS

Beta (vs SPY)	0.91
Annualized Volatility	22.37%
Average True Range	\$5.73
Max Drawdown	−13.82%
Sharpe Ratio	1.96
Value at Risk (95%)	1.88%
Downside Deviation	13.74%

RELATIVE VALUATION — AAPL VS. SECTOR PEERS

MULTIPLE	AAPL	PEER MEDIAN	VS. PEERS
P/E	37.2x	24.8x	+50%
P/B	42.3x	8.9x	+374%
EV/EBITDA	28.3x	17.0x	+66%
Profit Margin	27.2%	29.5%	−8%
Revenue Growth	16.6%	18.3%	−9%

Peer set: MSFT, NVDA, ORCL, ADBE, CRM. "vs. Peers" is the subject's premium (+) or discount (−) to the peer-group median.

VALUATION

DCF Enterprise Value	\$2.80T
DCF Fair Value / Share	\$190.82
DCF Value — Base Case	\$190.82
DCF Value — Bull Case	\$247.63
DCF Value — Bear Case	\$150.99

DCF ASSUMPTIONS

Risk-free rate (10Y UST)	4.54%
Equity risk premium	4.23%
Beta	0.91
Cost of equity (CAPM)	8.40%
Cost of debt (pre-tax)	6.04%
Tax rate	21.00%
Equity / debt weight	98% / 2%
WACC (discount rate)	8.33%
FCF growth	15.0% (company revenue growth (clamped))
Terminal growth	2.00%
Forecast horizon	5 years

WACC derived from CAPM (cost of equity = risk-free + β ·ERP) blended with after-tax cost of debt by capital weights. Growth taken from company fundamentals; risk-free rate is the live 10Y US Treasury yield.

DCF ENTERPRISE VALUE SENSITIVITY (\$B)

Growth \ WACC	6%	8%	10%
13%	3,837	2,586	1,938
15%	4,167	2,803	2,096
17%	4,521	3,034	2,265

Recent Headlines

- What investors can expect from Apple's WWDC
- Apple's Stock Could Be On The Verge Of A Major AI Breakout After WWDC, Says Top Investment Bank — But One Key Challenge Remains
- Apple AI Lawsuit Settlement Puts Spotlight On iPhone Marketing And Risk
- Apple Stock Looks Strong. One Number Says Be Careful.
- Arm Insiders Sold \$25.6 Million in Stock. They Missed a Historic Rally.
- Why Dan Ives Sees Apple WWDC As A Major AI Catalyst for AAPL
- Dow Jones Futures: What To Do As Market Rally Faces First Real Test; SpaceX IPO, Apple, Oracle Loom
- Apple (AAPL) Stock Moves -1.18%: What You Should Know
- Apple Has a Big Week Ahead With AI Siri Expected at WWDC. Here's How Much Traders See The Stock Moving
- Apple Set To Introduce AI-Powered Siri Digital Assistant At WWDC

Verification Audit

35 supported · 2 contradicted · 0 unsupported — 37 atomic claims reconciled against the computed ground-truth	
STATUS	DETAIL
contradicted	The bear case implies approximately 50.86% downside risk, which rounds to ~51%.
contradicted	DCF scenarios suggest approximately 21% downside to the base case (bear case of \$150.99 vs base case of \$190.82), not 38%.

A Appendix — Computed Metrics

TECHNICAL

Last Close	\$307.34
SMA 50	\$281.24
SMA 200	\$265.19
RSI (14)	58.28
MACD	8.46
Signal Line	9.40
Bollinger Upper	\$318.22
Bollinger Lower	\$290.29
52-Week High	\$315.20
52-Week Low	\$195.64

RISK

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Average True Range	\$5.73
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Sharpe Ratio	1.96
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SENTIMENT

News Sentiment	-0.01
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DCF Value — Bull Case	\$247.63
DCF Value — Bear Case	\$150.99
WACC (Discount Rate)	8.33%
Cost of Equity (CAPM)	8.40%
Cost of Debt (pre-tax)	6.04%
Peer Median P/E	24.83x
P/E Premium vs Peers	49.66%

DISCLOSURES

This report was generated by the Enhanced Stock Analysis Tool for research and educational purposes only and does not constitute investment advice, an offer, or a solicitation to buy or sell any security. Market data is sourced from yFinance as of 05 Jun 2026. The narrative is produced by a language model; every numeric claim in it is reconciled against the independently computed metrics shown above (see the Verification Audit). DCF fair values are model estimates under stated assumptions and are highly sensitive to inputs. Past performance is not indicative of future results.